

MIDTERM EXAMINATION
Spring 2009
MGT101- Financial Accounting (Session - 5)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

_____ An accounting system is used by a business to:

- ▶ Analyze transactions
- ▶ Handle routine book-keeping tasks
- ▶ Classify and summarize financial information
- ▶ **All of the given options**

Question No: 2 (Marks: 1) - Please choose one

_____ The assets which have a limited useful life are termed as:

- ▶ Limited assets
- ▶ **Depreciateable assets**
- ▶ Unlimited assets
- ▶ None of the given options

Question No: 3 (Marks: 1) - Please choose one

_____ Accountancy covers which of the following area(s):

- ▶ Book-keeping
- ▶ Accounting
- ▶ Auditing
- ▶ **All of the given options**

Question No: 4 (Marks: 1) - Please choose one

_____ If a business pays rent in advance for 12 months, it will be treated as:

- ▶ **Prepaid expenses of business**
- ▶ Long term liability of business
- ▶ Fixed assets of business
- ▶ Current liability of business

Question No: 5 (Marks: 1) - Please choose one

_____ Which of the following transaction have **NO** affect on stockholders' equity?

- ▶ Purchase of land on credit
- ▶ Dividends to stockholders
- ▶ Net loss
- ▶ Investment in cash by stockholders

Question No: 6 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ▶ Cash account
- ▶ Furniture account
- ▶ Vehicle account
- ▶ Capital account

Question No: 7 (Marks: 1) - Please choose one

_____ If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

- ▶ Any cheque drawn to creditor but not paid by bank
- ▶ Interest credited by the bank in pass book
- ▶ Cheque deposited but not credited by the bank
- ▶ Dividend collected by bank on behalf of the customer

Question No: 8 (Marks: 1) - Please choose one

_____ The cost of moving plant and machinery to a new site will be treated as:

- ▶ Revenue expense
- ▶ Capital expense
- ▶ Administrative expense
- ▶ Operating expense

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about Capital Expenditure?

- ▶ Creates future benefits
- ▶ Incurred to acquire fixed assets
- ▶ Incurred to increase the economic life of existing fixed assets
- ▶ Reduce the profit of the concern

Question No: 10 (Marks: 1) - Please choose one

_____ Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit
Sold	10 units @ 10 35 units @ 11 40 units @ 12
	Balance 20 units @ 13 = 260

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ▶ Rs.260
- ▶ Rs.232
- ▶ Rs.284
- ▶ Rs.268

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225
	Opening Stock			100
	Add purchases			1125
	Total material available for sale			1225
	Less closing **			320
	Cost of good sold			905

Detail of 80 units sold

10 @ 10
35 @ 11
35 @ 12
now remaining are

5 units @ 12 = 60

20 units@ 13 =260

closing stock = 25 units and value = 320

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ▶ Rs. 1,225
- ▶ Rs. 1,015
- ▶ Rs. 965
- ▶ **Rs. 905**

Question No: 12 (Marks: 1) - Please choose one

Cost of machine = Rs.400, 000

Useful life = 5 years

Residual value = Rs.25, 000

The depreciation of machine per year using straight line method is?

$$= 400,000 - 25,000 / 5 = 75,000$$

- ▶ Rs. 160,000
- ▶ Rs. 96,000
- ▶ **Rs. 75,000**
- ▶ Rs. 57,600

Question No: 13 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

Asset year 1 = 100,000 - 15,000 = 85,000

Year 2 = 85,000 - 15,000 = 70,000

Year 3 = 70,000 - 15,000 = 55,000

Year 4 = 55,000 - 15,000 = 40,000

Book value after year 5 = 40,000 - 15,000 = 25,000

- ▶ **Rs.25, 000**
- ▶ Rs. 75,000
- ▶ Rs. 15,000
- ▶ Rs. 1, 00,000

Question No: 14 (Marks: 1) - Please choose one

decrease in value of a fixed asset due to age, wear and tear is known as:

A

- ▶ Depreciation
- ▶ Accumulated Depreciation
- ▶ Appreciation
- ▶ Written Down Value

Question No: 15 (Marks: 1) - Please choose one

balance sheet fixed assets are shown at:

- ▶ Cost price
- ▶ Market value
- ▶ Fair value
- ▶ Written down value (WDV)

Question No: 16 (Marks: 1) - Please choose one

cost of goods sold statement, the 'cost of material consumed' is equal to:

- ▶ Opening raw material inventory + Purchases – Ending raw material inventory
- ▶ Opening raw material inventory - Purchases + Ending raw material inventory
- ▶ Ending raw material inventory + Opening raw material inventory - Purchases
- ▶ Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 17 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost = dm + dl	130000

- ▶ Rs.1 Rs.130, 000
- ▶ Rs.110, 000
- ▶ Rs.140, 000
- ▶ Rs.190, 000

Question No: 18 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

- ▶ Rs. 5,500
- ▶ Rs. 8,000
- ▶ Rs. 4,500
- ▶ Rs. 8,500

Question No: 19 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

- ▶ Raw material
- ▶ Work in process
- ▶ Finished goods
- ▶ **Merchandise inventory**

Question No: 20 (Marks: 1) - Please choose one

If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

- ▶ Rs. 5,000 Loss
- ▶ **Rs. 5, 000 Profit**
- ▶ Rs.1, 95,000 Profit
- ▶ Rs.1, 95,000 Loss

Question No: 21 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ▶ Cash account
- ▶ Furniture account
- ▶ Vehicle account
- ▶ **All of the given options**

Question No: 22 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

- ▶ Customer's account
- ▶ **Sales return account**
- ▶ Goods account
- ▶ Accounts receivable

Question No: 23 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

- ▶ Furniture account
- ▶ **Cash account**
- ▶ Business account
- ▶ Bank account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account will be credited, If Mr. "A" started business with cash Rs. 2, 00,000?

- ▶ Capital account
- ▶ Cash account
- ▶ Mr. A's account
- ▶ Business account

Question No: 25 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?

- ▶ Mr. "B" / Accounts Receivable account (Dr) and Sales account (Cr)
- ▶ Cash account (Dr) and sales account (Cr)
- ▶ Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
- ▶ Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an item of a Balance Sheet?

- ▶ Accounts Receivable
- ▶ Accounts Payable
- ▶ Sales Revenue
- ▶ Marketable Securities

Question No: 27 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

- ▶ Liquid assets
- ▶ Current assets
- ▶ Fixed assets
- ▶ Capital assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

- ▶ Profit & Loss Account
- ▶ Cash Flow Statement
- ▶ **Balance Sheet**
- ▶ Income & Expenditure Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

- ▶ Trading account
- ▶ Profit & Loss account
- ▶ **Receipts & Payments account**
- ▶ Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

- ▶ Balance Sheet
- ▶ **Trading and Profit & Loss account**
- ▶ Cash Flow Statement
- ▶ Statement of Retained Earnings

Question No: 31 (Marks: 1) - Please choose one

_____ In an account, if credit side < debit side then the balance is known as:

- ▶ Negative Balance
- ▶ **Debit Balance**
- ▶ Positive Balance
- ▶ Credit Balance

Question No: 32 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

- ▶ **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**
- ▶ Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

- Voucher
- General Journal
- General Ledger
- Trial balance

Question No: 34 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- Right or debit side of the account
- Left or debit side of the account
- Left or credit side of the account
- Right or credit side of the account

Question No: 35 (Marks: 1) - Please choose one

What is the nature of an expense account?

- Debit
- Credit
- Revenue
- None of the given options

Question No: 36 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

- Expenses
- Assets
- Capital
- Liabilities

Question No: 37 (Marks: 1) - Please choose one

journal			
Date	Particulars	(Dr.)	(Cr.)
		Rs.	Rs.
Assets total Rs.50, 000 and Liabilities total Rs.10, 000. What is the equity of the business?	2008 jan1	Cash account	50,000
		Capital account (owner invested cash)	50,000
	jan.2	Furniture account	10,000
		Cash account (purchased furniture for cash)	10,000
	Jan.3	Purchases account	30,000
		Cash account (goods purchased for cash)	30,000
	Jan.5	Cash account	40,000
		Sales account (sold goods for cash)	40,000
An expense incurred by the business for the purchase of land & building is an example of:	Jan. 6	Salaries account	5,000
		Cash account (Salaried paid)	5,000

- ▶ Rs. 40, 000
- ▶ Rs. 60, 000
- ▶ Rs. 10,000
- ▶ Rs. 50,000

Question No: 38 (Marks: 1) - Please choose one

- ▶ Capital Expense
- ▶ Revenue Expense
- ▶ Deferred Expense
- ▶ Preliminary Expense

Question No: 39 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

- ▶ Sole proprietorship
- ▶ Partnership
- ▶ Limited company
- ▶ Trust

Question No: 40 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

- ▶ Cost Accounting
- ▶ Financial Accounting
- ▶ Management Accounting
- ▶ Tax Accounting

Question No: 41 (Marks: 10)

Prepare Cash and Capital Accounts with the help of given Journal entries.

CASH A/C (IN STATEMENT FORM)

Date	V. No	Detail	Ref	Debit	Credit	Balance
01/01/08		CAPITAL A/C		50000	0	50000 DR
02/01/08		FURNITURE A/C		0	10000	40000 DR
03/01/08		PURCHASES A/C		0	30000	10000 DR
05/01/08		SALES A/C		40000	0	50000 DR
06/01/08		SALARIES A/C		0	5000	45000 DR
		TOTAL		90000	45000	45000 DR